

Micron Technology, Inc.

MU NASDAQ

Buy	\$858.65 ▲ 16.19%	12M Price Target \$1050.00	52-Week Range \$103.38 – \$1255.00	Market Cap \$969.76B
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MU: AI Memory Bounces Back After Panic Selloff

WHAT HAPPENED

- MU just ripped +16% after getting crushed for -20% over two days. Here's the sequence: SK Hynix (the Korean memory giant that competes with MU) reported earnings Monday that spooked people about AI memory demand → whole AI trade unwound → MU dropped from \$920 to \$739 in 48 hours. Today it snapped back on bargain hunting plus a Wall Street analyst call flagging up to 170% upside.
- The volume tells the story — 68M shares on the panic day, only 26M on today's bounce. That means the sellers exhausted themselves, and buyers stepped in without needing to fight much supply. Classic capitulation-and-reversal setup.

WHY IT MATTERS

This looked like a sentiment washout, not a fundamental break. When a stock drops 20% in two sessions on a *competitor's* mediocre print (not MU's own numbers), you're seeing forced selling from momentum funds and leveraged AI baskets — not smart money exiting. The bullish options flow (16,000+ unusual call contracts at \$850 strike, put/call ratio at 0.72) suggests institutions used the dip to load up cheap. Bigger picture: MU is one of three companies on Earth (with SK Hynix and Samsung) that can make HBM3E memory — the stuff Nvidia's Blackwell chips literally cannot function without. That's a structural moat that a bad quarter from a competitor doesn't erase.

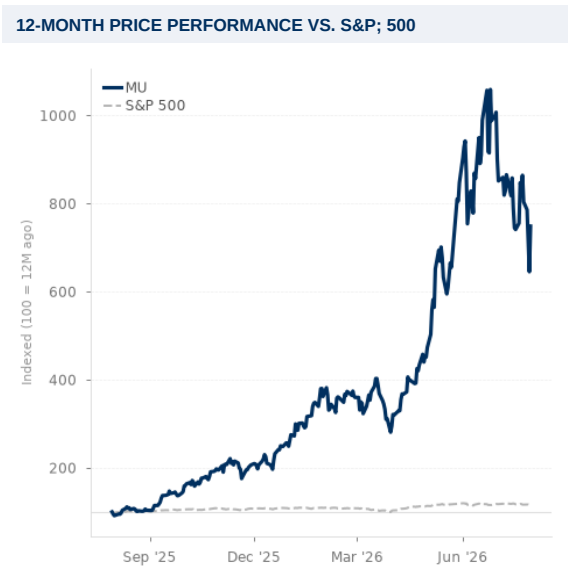
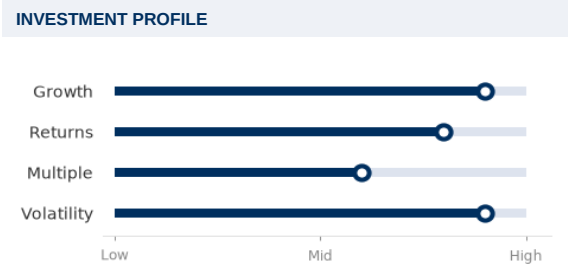
POLICY & POLITICAL WATCH

The CHIPS Act (the 2022 law that put \$52B behind US semiconductor manufacturing) is MU's silent tailwind — they got ~\$6B in direct grants for their New York and Idaho fabs, and that money is still deploying. Watch two things right now: (1) the Trump administration's ongoing review of CHIPS Act disbursements — if they claw back or slow-walk grants, MU's capex plans get uglier; (2) export controls on advanced memory to China, which are being tightened again. Tighter controls actually *help* MU short-term (less Chinese competition in high-end HBM) but hurt long-term (China is 10-15% of their revenue). Net-net, the political backdrop for US-made advanced memory is the friendliest it's been in decades.

IS IT EXPENSIVE?

At ~\$860 and roughly 59x forward earnings, MU looks expensive on the surface — you're paying \$59 for every \$1 of next year's expected profit. BUT memory is a cyclical business, and analysts think earnings could double to \$22+ by FY27, which drops the forward multiple to the mid-30s. Compared to Nvidia at 40x+ or SK Hynix at 15x, MU sits in the middle — cheaper than the GPU king but pricier than the Korean rival because investors are betting MU's HBM ramp closes that gap.

Key Data	
Price (USD)	\$858.65
12M Price Target	\$1050.00
Upside / (Downside)	+22.3%
Market Cap	\$969.76B
FY2026E Revenue	\$52,000M
FY2027E Revenue	\$68,000M
FY2026E EPS	\$14.50
FY2027E EPS	\$22.00
Fwd P/E	59.2x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$950.00	\$880.00	\$720.00
6 Months	\$1150.00	\$980.00	\$700.00
1 Year	\$1350.00	\$1050.00	\$650.00
2 Years	\$1600.00	\$1200.00	\$600.00
5 Years	\$2200.00	\$1500.00	\$500.00
10 Years	\$3500.00	\$2000.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+5.58% today) — money rushing back into AI names after the two-day panic. Semiconductor equipment and memory leading the bounce because they got hit hardest.

COOLING OFF: Utilities, Financials, Materials all red — classic risk-on rotation. When tech rips, defensive sectors bleed.

ROTATION WATCH: Money is flowing from defensives back into AI/semis on the dip-buy — but this is a *reflex* bounce, not a new leg up. Watch if tech can hold gains for 3+ sessions before calling it a real trend reversal.

RELATED PLAY: If MU's HBM story is intact, the equipment makers who sell tools to memory fabs (Lam Research, Applied Materials) are second-derivative plays — they benefit whether MU or Samsung wins the HBM race.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the king — every dollar of AI capex flows through their GPUs first, memory second.
- AVGO (Broadcom): Custom AI chips for hyperscalers giving them a Nvidia-adjacent narrative without the concentration risk.

MU CONTEXT: MU is *lagging* Nvidia year-to-date but leading pure-play memory. That's actually the setup you want — it means MU has room to catch up if HBM demand stays strong. The 66% of 52-week range positioning tells me the stock has room to run before hitting overhead resistance near \$1,000.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$740-780 on macro pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing collapse, loss of Nvidia qualification, or China memory oversupply

Hedging: Buy protective puts or pair with a short position in a weaker DRAM peer